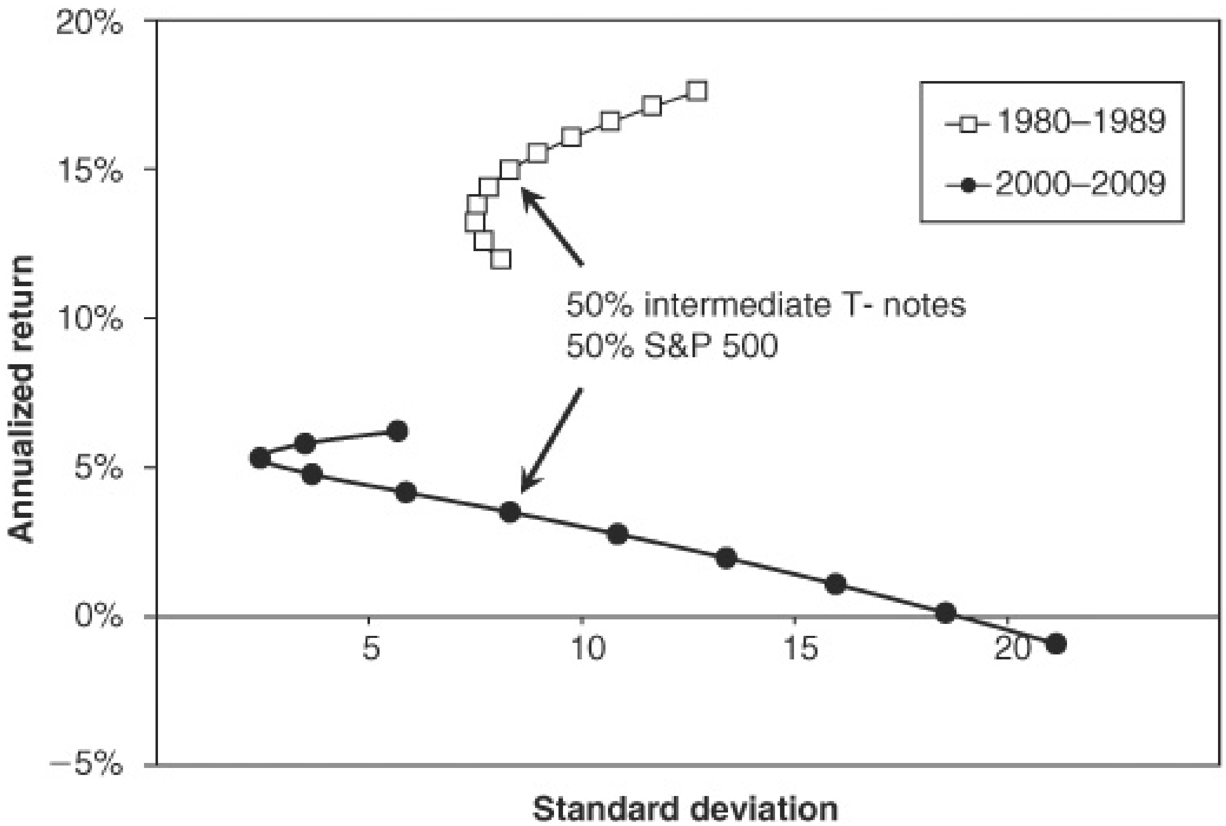

Figure 3-12 illustrates the difference in risk and return of each 50 percent stock and 50 percent bond portfolio for each decade since 1950. Notice first that the returns were positive every decade. Next notice that the return range was much broader than the risk variation. This brings up an interesting point that is discussed again in Chapter 12; over any 10-year period, it is easier to predict portfolio risk than it is to predict portfolio return. It takes about 30 years before a portfolio return prediction can work out in relation to portfolio risk. Asset allocation is for patient people.

FIGURE 3-12

50% Stock and 50% Bond Risk and Returns over the Decades